

Python

FRED API

Power BI

Event Study

yfinance

Scikit-learn



Iran–US Conflict

Energy Market Event Study (2026)

Quantifying oil price volatility and market reaction asymmetry across the 2026 conflict using Python event-study methodology, FRED macro data, and Power BI

Executive Summary

KPIs · Price timeline · Key event markers · Insight callout

Deep Dive

Rolling volatility · CAR by event · Window comparison

Sector Comparison

Equity returns · Correlation shifts · Sector narrative

+30.63%

Brent Peak CAR after spikes

1.9X

Volatility spike vs baseline

9 days

Days to peak CAR after E1

\$79.70

Post-MoU Brent recovery

Iran–US Conflict: Energy Market Event Study (2026).

Quantifying oil price volatility and market reaction asymmetry across the 2026 conflict

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\$118.35

Brent peak price

1.9×

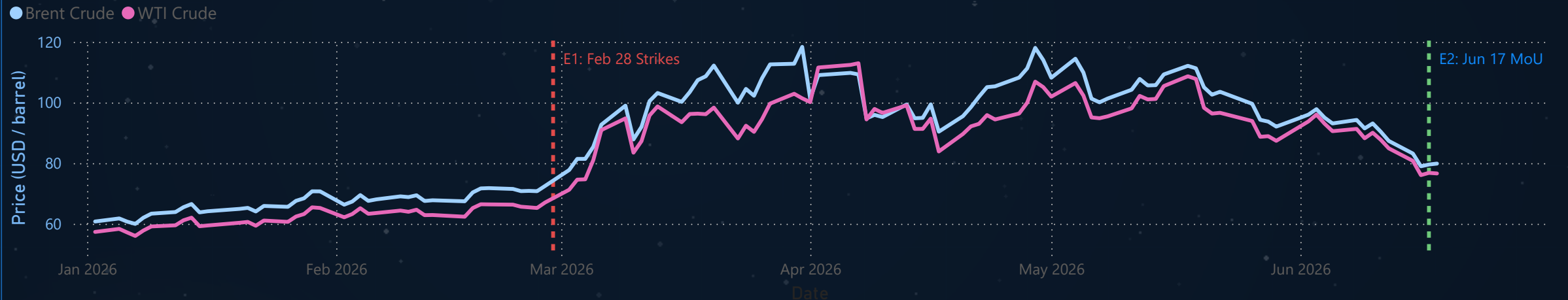
Volatility spike

9

Days to peak CAR

\$79.70

Post-MoU Brent price



Date	Event
28 February 2026	US-Israel Strikes Begin
17 June 2026	US-Iran MoU Signed
18 June 2026	Swiss Technical Talks Postponed

Key insight:

1) Escalation was a shock (+30.63% CAR in 9 days). De-escalation was anticipated — only +0.19% moved on MoU day because 24.2% of the unwind had already been priced in. Markets process bad news 1.4× faster than good news.

2) Additionally, Brent–USD correlation flipped from −0.27 to +0.51 — oil and dollar rose together during the crisis, an unusual co-movement driven by simultaneous supply fear and safe-haven demand.

Deep Dive — Volatility and Cumulative Abnormal Returns

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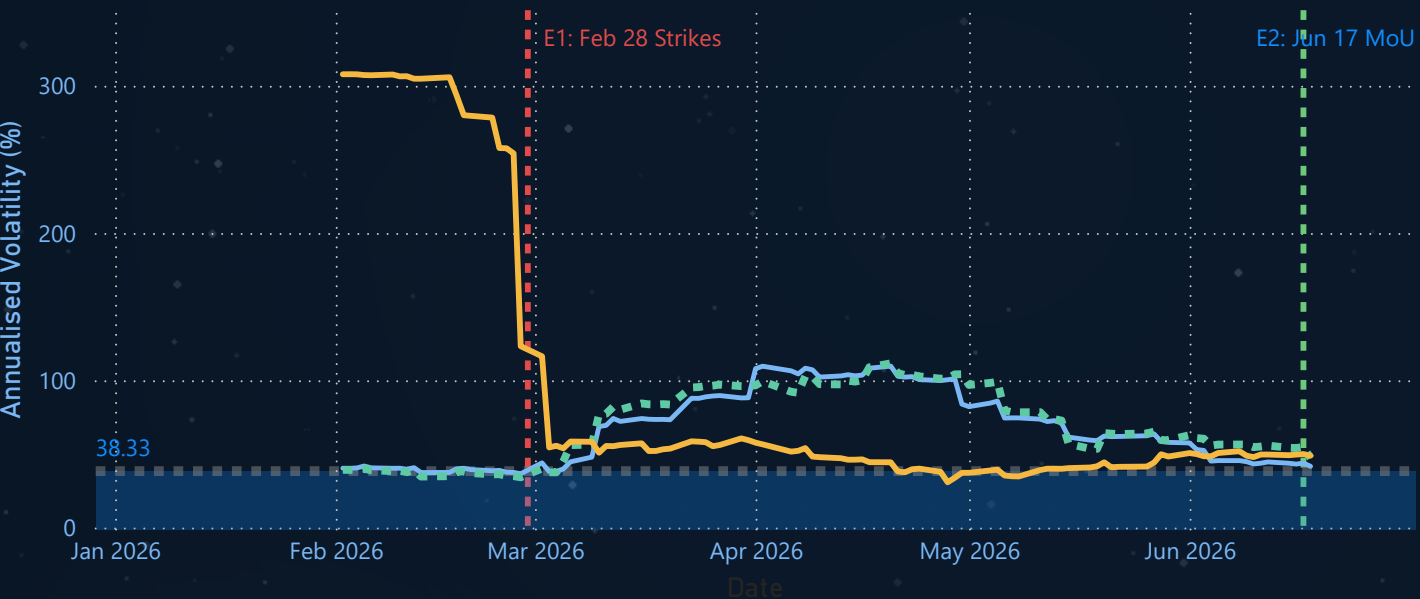
Conflict

Post-MoU

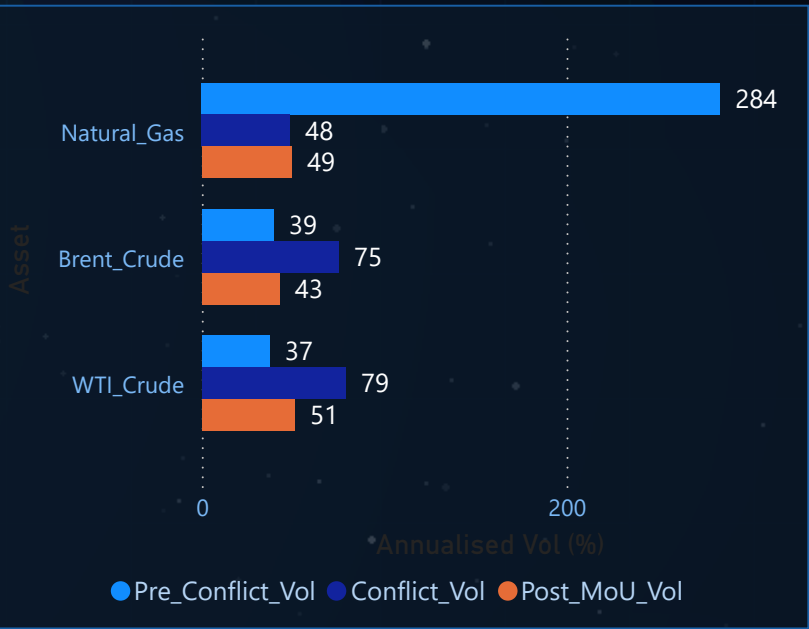
Pre-Conflict

Rolling Volatility — 20-day Annualised

● Brent Crude ● WTI Crude ● Natural Gas



Volatility by Window — Brent, WTI, NatGas



Event Study — CAR by Event and Asset

Event	Asset	Peak CAR %	CAR +10d %	Days to Peak
E1_Strikes	WTI_Crude	34.61	28.77	9
E1_Strikes	Brent_Crude	30.63	27.29	9
E1_Strikes	Natural_Gas	17.87	12.39	8
HORMUZ	Brent_Crude	6.09	3.82	4

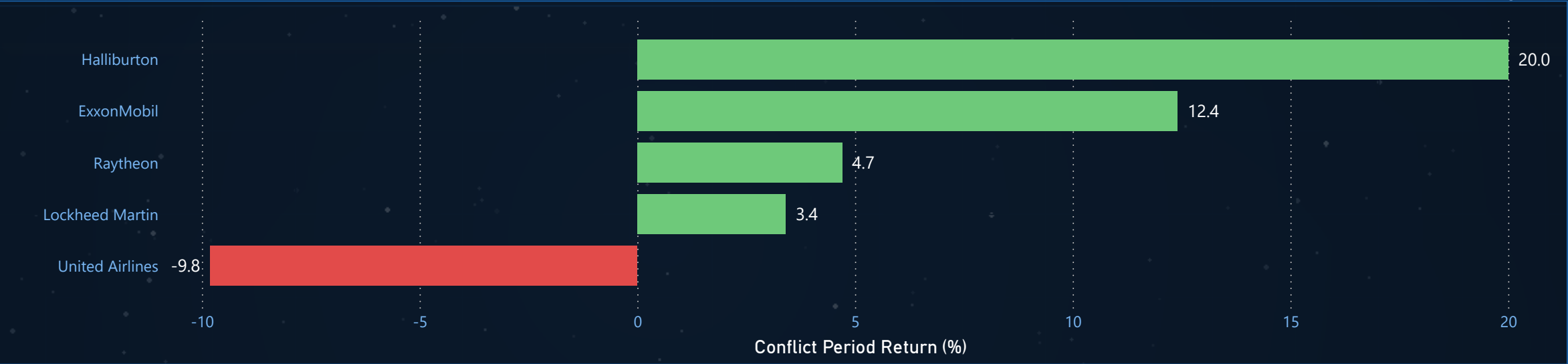
Sector Comparison — Equity Performance and Correlation Shift

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Equity Performance — Conflict Window vs Pre-Conflict



Asset Correlation Shift — Pre-Conflict vs Conflict

Asset_Pair	Pre_Conflict	Conflict	Change
Brent vs USD Index	-0.27	0.51	0.78
Brent vs NatGas	0.00	0.35	0.35
Brent vs ExxonMobil	0.72	0.66	-0.06
Brent vs Airlines	-0.29	-0.57	-0.28

Airlines — clear loser

UAL -9.8%. Brent-Airlines correlation doubled to -0.57. Fuel cost headwind plus Hormuz route disruptions confirmed by data.

USD Index — surprise shift

Brent-USD flipped from -0.27 to +0.51. Oil and dollar rose together — simultaneous supply fear and safe-haven demand. Sharpest correlation shift in the dataset.

ExxonMobil — mixed signal

Brent-XOM correlation dropped slightly (0.72 → 0.66). XOM pricing in demand destruction fears alongside price spike — divergence from pure oil-price play.